

SQUAS

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There's an old joke that goes: "Inflation is when you pay Rs 50 for the Rs 20 haircut you used to get for Rs 5 when you actually had hair." With the sharp spike in prices of essential food-stuff, it's no laughing matter. On the eve of the festive season, which involves elaborate dishes and sugar-loaded sweets, middle-class and lower middle-class families are faced with a humongous problem: how to cope? The economic downturn had already enforced cost-cutting measures. Now with prices soaring to the stratosphere, it has added an unbearable burden. Food prices surged 13.3 per cent in mid-August and have only climbed higher since, forcing most middle-class families to make sacrifices they never imagined.

Ask the Chatterjee family in Kolkata. Their normal meal consisted of rice, dal, a vegetable and fish, followed by fruit. Now they have just rice and dal or rice and vegetable, and occasionally fish, but no fruit. With Durga Puja approaching, it's a nightmare because of the rising prices of essentials as well as the staple dish at Puja time: hilsa fish. From Rs 100-120 for a kg a few months ago, it's now a crippling Rs 400-500 a kg, going up to even Rs 1,600 for premium quality, putting it out of the reach of middle-class Bengalis.

Across India, it is pretty much the same story with the

price of some dals, a staple in every Indian home, having risen over 50 per cent since 2004 with Tur dal, hitting a high of Rs 100 a kg from Rs 38 just a few months back. Vegetable prices have doubled as have for fruits while fish, chicken and mutton have virtually gone out of reach for middle-class families. The Government is caught between a rock and a hard place. Its focus on pro-poor policies has taken a knock: the *aam aadmi* is worst-hit by the price rise. Late rains have done little to dispel the gloom as much of the crop has already been damaged. There has been a decrease of some 6 million hectares in paddy-sowing in key states and the Centre for Monitoring Indian Economy, a think tank, projects a 4.7 per cent fall in agricultural production in 2009-10 on top of the 1.5 per cent fall last year. That's a recipe for disaster.

According to the Economic Survey, foodgrain, fruits and vegetables, and condiments like sugar and salt have registered double-digit inflation from October 2008 onwards. Moreover, the sharp rise in prices of farm commodities with its cascading effect on other goods is not just a result of the weak monsoon. This year, the increase in fuel prices—by Rs 4 a litre on petrol and Rs 2 on diesel—pushed food prices higher. Added to that, the unregulated operations of financial companies in the commodity markets put immense pressure on domestic prices. Rainfall deficiency has been

REASONS

FOR THE PRICE HIKE

- Poor monsoon and drought.
- Gross inefficiencies in the PDS.
- Poor agricultural infrastructure results in wastage.
- Hoarding and speculation.
- International pressure on prices.

ACTIONS

ON THE PRICE HIKE

- Import of foodgrain.
- Import of sugar at zero duty.
- Supply of adequate power and diesel to save Kharif crop.
- Shift to alternative crops.
- Curb on hoarding through raids.